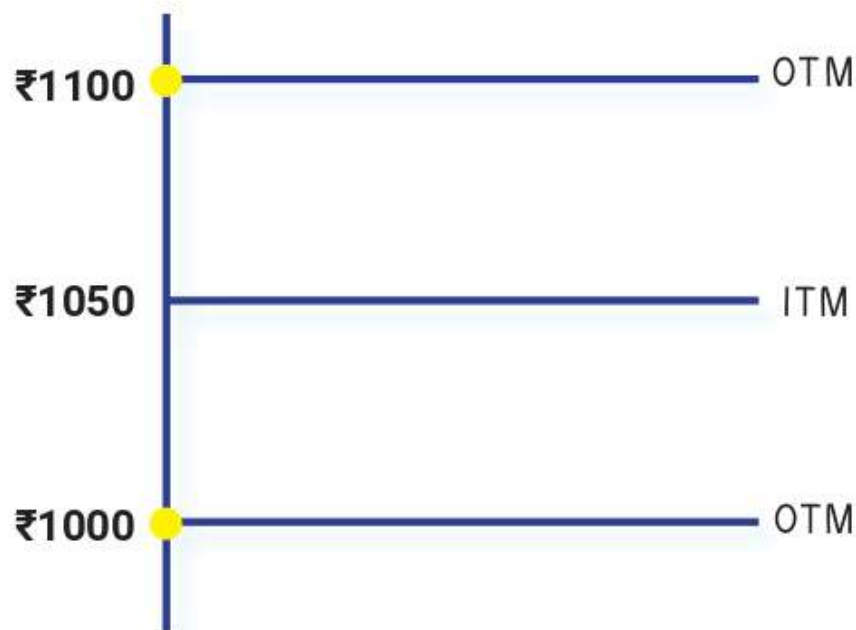


UNDERLYING STOCK PRICE

As the price of the underlying asset changes, the in-built profits of the options contract change as well. This also changes the moneyness of the option contract. The movement in the stock price with respect to the strike price can change an out-of-the-money option to in-the-money.

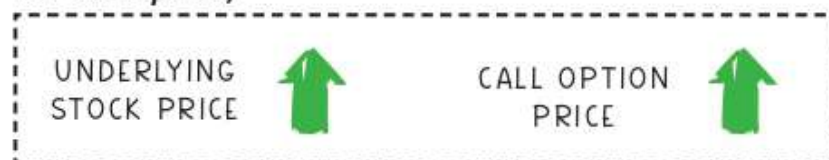
For example,



Lets say the strike price of the underlying asset is ₹1050 currently. So, we can say that the call option contract with the same Strike Price is at the money and the Strike Price of 1000 is in the money and the one at ₹1100 is out of money.

But as the price of the underlying increases to ₹1100, the option at ₹1050 as strike price increases in value as it adds in-built profits into it. At the same time, if the price reduces from ₹1050 to ₹1000, the value for all the call options will decline.

For Call option,



For Put option,

